



BIRLA INSTITUTE OF TECHNOLOGY AND SCIENCE, Pilani
Pilani Campus
AUGS/ AGSR Division

FIRST SEMESTER 2026-27
COURSE HANDOUT

Date: 04 Aug 2026

In addition to part I (General Handout for all courses appended to the Time table) this portion gives further specific details regarding the course.

Course No : **ECON F 315 / FIN F 315**
Course Title : **Financial Management**
Instructor-in-Charge : **Rajan Pandey**

1. Course Description: Financial Management is a foundation course offered to finance minor students and as a disciplinary and open elective. The Financial Management course has several practical applications to financial decision-making and encompasses topics having a varying degree of complexity. It is usually taught at the graduate level such as MS/MBA or at the PhD. This course ECON/FIN F 315 is designed to suit the level of academic experience and exposure in finance for undergraduate students having just taken a first course on Fundamentals of Finance and Accounting. The course's learning objectives focus on the primary financial decisions undertaken by the financial manager of an organisation to achieve the principal objective of the firm.

In an increasingly competitive and globally integrated world marked by all-pervasive technological advancements, the roles and responsibilities of financial managers are expanding in response to the explosion in the number of firms striving for success. On the one hand, corporations are hungry to fulfil their financing needs, so on the other are the investors, looking for the best return on the buck they invest. The wide range of investment avenues available to investors explains the extent of innovations happening in the financial markets worldwide. However, with uncontrolled growth comes the risk of an uncontrolled collapse and the financial crisis of 2008 is a classic case of fault lines in the financial markets.

To retain the confidence and faith of investors and forge robust and sustainable growth, the firms must impress suppliers of capital (investors) with adequate rewards to compensate them for the risks they undertake. More importantly, the modern viewpoint of the roles and responsibilities of the board of directors and the C-suite managers has departed from the traditional profitability perspective to the wealth maximisation principle. The firm must protect and strengthen the rights of its stakeholders, such as employees, suppliers, customers, the environment, investors, etc. Hence, the wealth maximisation principle influences the decisions firms make about their financing policy, investment policy, and dividend distribution policy.

The role of the financial manager - which is central to the decision-making concerning finances (money, capital, investment etc.) – plays a critical role in ensuring seamless day-to-day operations, maintaining profitability and sustaining reliable long-term performance along with adherence to the company's ESG (sustainability) policies.



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2. Scope and Objective of the Course: This course introduces students to the fundamental Corporate Finance concepts, theories, and the financial decision-making process. The structure of the course enables students to:

- a. Develop an understanding about the variety of financial instruments and their valuations,
- b. Learn globally adopted practices on corporate investment and risk management and
- c. Gain deeper insights into modern corporate finance principles and practices.

Primarily, the course objectives hover around key decisions made by financial managers, including financing, investing, capital structure, and shareholder rewarding policies. The contents of this course enable the participants to appreciate the interdependencies between these decisions and their impact on the firm's survivability.

Important: The course assumes that students have done a basic course on accounting (prerequisite), have strong foundation on financial statements, and have elementary familiarity with financial markets, financial securities, statistics, and MS-Excel.

3. Text Book: Eugene F. Brigham and Michael C. Ehrhardt, Financial Management: Theory and Practice, 14/e, 2014, (South-Western) Cengage Learning.

4. Reference Books (R#): In decreasing order of priority:

1. Richard A. Brealey, Stewart C. Myers, Franklin Allen, and Pitabas Mohanty, Principles of Corporate Finance, 8/e, 2010, Tata McGraw-Hill Publishing Company Ltd.
2. Stephen A. Ross, Randolph W. Westerfield, Jeffrey Jaffe, Bradford D. Jordan, and Ram Kumar Kakani, Corporate Finance, 11/e, 2016, McGraw Hill Education.
3. Lawrence J. Gitman, Principles of Managerial Finance, 11/e edition, 2008, Pearson Education Publication.
4. Aswath Damodaran, Corporate Finance: Theory and Practice, 2/e, 2001, John Wiley & Sons, Inc.
5. Thomas E. Copeland, J. Fred Weston, Kuldeep Shastri, and Joseph M. Katz, Financial Theory and Corporate Policy, 4/e, 2011, Pearson Education, Inc.
6. Robert A Haugen, Modern Investment Theory, 5/e, 2018, Pearson India Education Services Pvt. Ltd.

5. Course Plan:

Contents: Imp Note – Refer to the relevant sections of the textbook and reference book as mentioned below (class notes to be clubbed with book chapters). Supplementing the first reference book (Brigham & Ehrhardt) with lecture notes should suffice. Refer to the next section for information on the relevant topics from the first reference book.



Detailed syllabus and lecture plan follows.

The course syllabus is divided into 5 Modules:

1. Introduction to corporate finance and corporate governance
2. Risk, return, security valuation, and cost of capital
3. Capital budgeting
4. Financing, capital structure, and dividend policy
5. Special topics in corporate finance

Module No.	Lecture Session	Reference	Learning outcomes
1. Introduction to Corporate Finance, and the roles of financial manager. Free cash flow estimation using financial statements.	Lec. 1-3 Introduction to Corporate Finance, Modern corporate structure, Roles of a financial manager, Goals of a corporation, First principles of corporate finance, Differentiate between Capital Budgeting and Capital Structure and its relevance to corporate valuation. Lec. 4-11 Financial statements and Free cash flow estimation.	TB: Ch 1, Ch 2 + Class notes	Understanding of: A. Key decisions taken by the financial manager. B. Do's and Don'ts of managerial finance practices. C. Relevance of shareholder's wealth maximization principle. D. Understand and estimate the source of free cash flows and reconcile it with the uses of free cash flows.
2. Risk and return, Modern Portfolio Theory and Cost of Capital	Lec. 12-16 Types of financial securities and their valuation. Lec. 17-18 Measuring risk and return and discuss Asset Pricing Models for estimating discount rate.	TB: Ch 6, Ch 7 + Class notes	Understanding of: A. Different types of financial instruments and how they are issued by the companies. B. Estimating cost of equity using dividend discount models. C. Quantification of investment return and risk. D. Capital market theory and cost of equity. E. Advantages and disadvantages of
	Lec. 19-22 Estimation of Weighted-average Cost of Capital	TB: Ch 9 + Class notes	



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			project financing through use of debt. F. Elements of capital structure and estimation of financing cost.
3. Capital Budgeting	Lec. 23-25 Cash flow evaluation tools and techniques such as NPV, IRR, Profitability Index etc.	TB: Ch 10 + Class notes	Understanding of: A. Practical approaches followed by the firms for analyzing and ranking long-term investments. B. Strengths and weakness of the tools and techniques of cash flow evaluation. C. Common risk analysis approaches followed by practitioners for forecasting cash flows.
	Lec. 26-29 Identifying relevant cash flows Case study on cash flow estimation.	TB: Ch 11 + Class notes	
	Lec. 30-35 Risk analysis in capital budgeting, Business and Finance Risk, and Real Options analysis	TB: Ch 11, Ch 26 + Ch 15 + Class notes	
4. Financing, Capital Structure and Dividend Policy	Lec. 36-39 Financing and overview of capital structure theories and dividend policy of a firm.	TB: Ch 18 & 20, Ch 15, Ch 21 + Class notes	Understanding of: A. The relevance and irrelevance of capital structure. B. The process of dividend payment. C. Different corporate actions that may potentially impact the capital structure of a firm.
5. Special topics in corporate finance	Lec. 40-42 Lease financing Mergers and Acquisitions International financial management Working capital management Behavioral finance and its implications for the corporate manager	Class notes	Understanding and appreciation of special and emerging themes in corporate finance and their implications in financial decision making process.

6. Evaluation Scheme: The course is of 300 marks.

Components	Duration	Weightage (%)	Date & Time	Nature of component (Close Book/ Open Book)
Mid-Semester Test	90 Min.	30%	As per time-table	Closed Book
Comprehensive Examination	180 Min.	40%	As per time-table	Partly Open Book



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Quizzes (3)	40 Min.	15% (best 2 of 3)	Announced	Closed Book
Assignment	Take-home	15%	TBD	-

7. Contact:

Chamber (6165 - G) Economics and Finance Dept., New Academic Block.

Chamber consultation hour: Thursday – 3:30 PM – 5:00 PM.

e-mail – rajanpandey@pilani.bits-pilani.ac.in

8. Notices: Refer to **Economics & Finance Dept. Notice Board** for notices regarding the display of marks, solutions of tests etc. Students **must check their BITS e-mail accounts regularly** for course-related announcements.

9. Make-up Policy: Make-up exam for Mid-semester Test and the Comprehensive Exam will be granted in only genuine cases with prior written permission from AUGS Dept. Prior written permission is mandatory under all circumstances. **No make-up shall be granted for the quizzes.**

Instructor-in-charge
Course No. ECON F315 / FIN F 315